

Asia Summer School: China Software and IT Services

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GREATER CHINA IT SERVICES AND SOFTWARE

Asia Pacific

Industry View

In-Line

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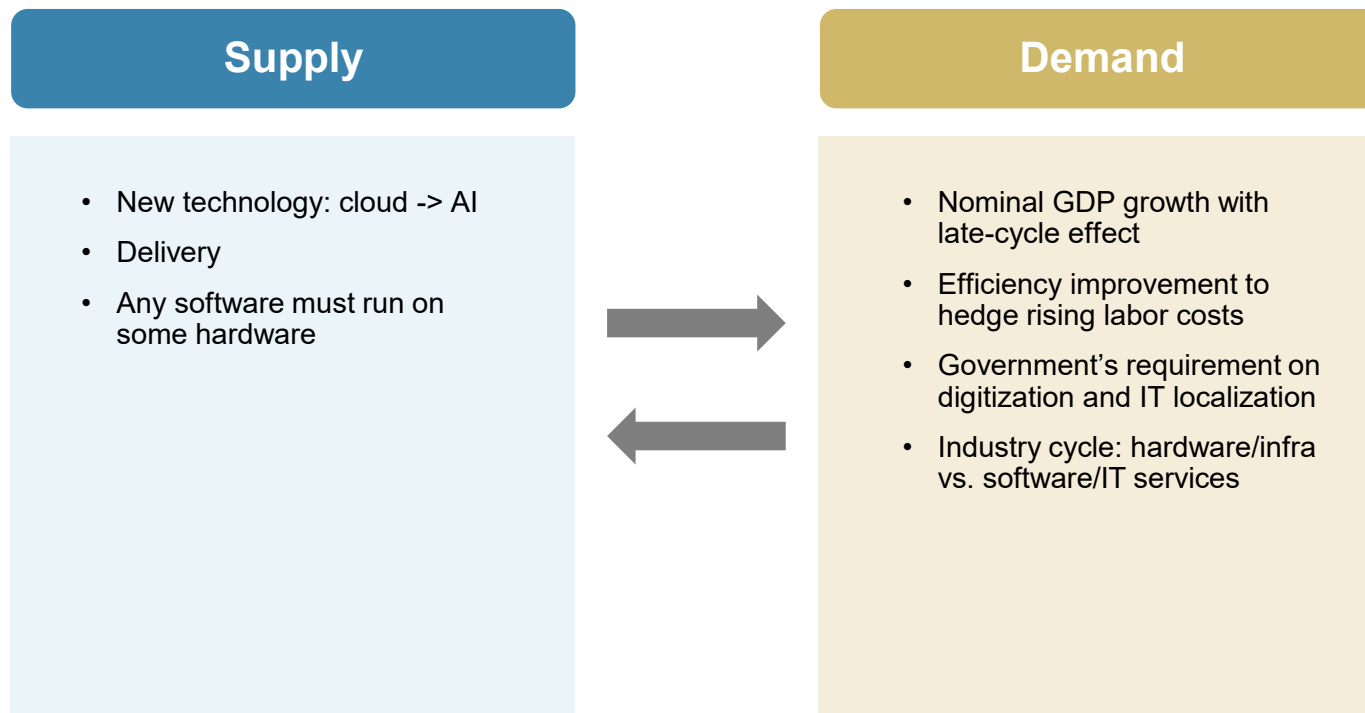
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Asia Summer School



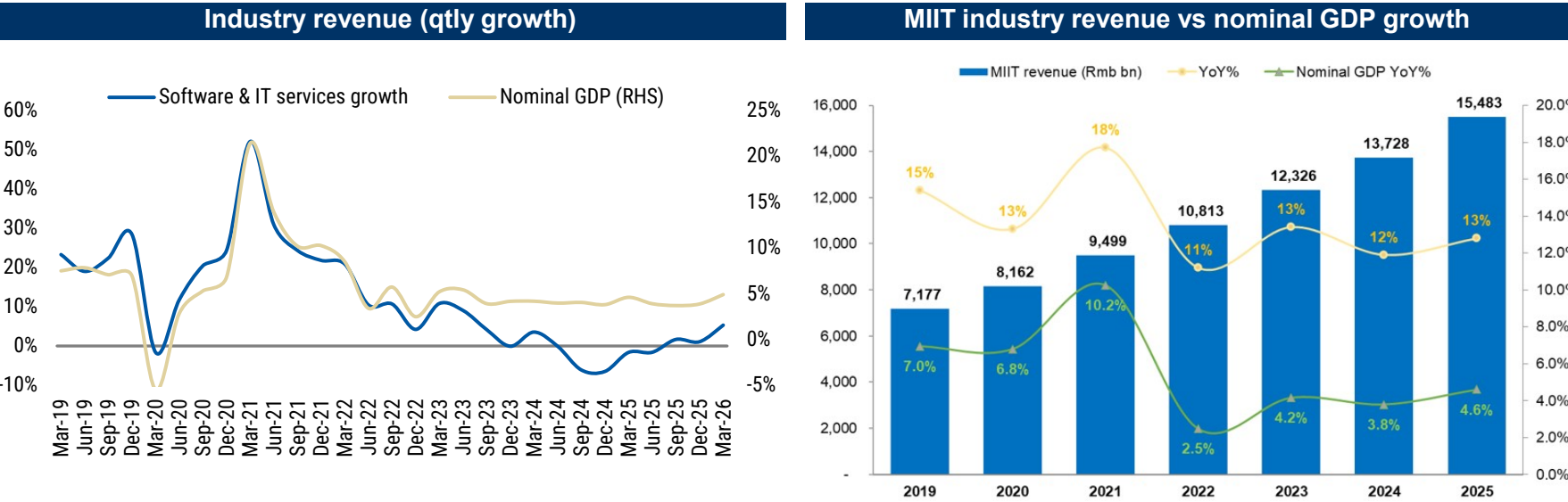
Enterprise Software Overview

Industry Drivers



Source: IDC, World Bank, Morgan Stanley Research.

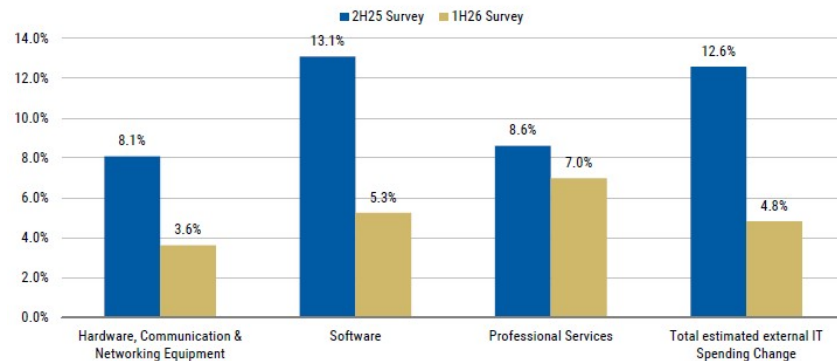
Industry Growth: Reported Numbers



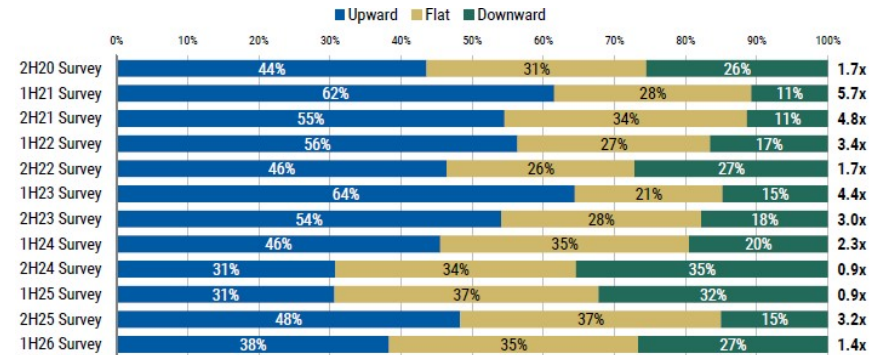
Source: CEIC, MIIT, Morgan Stanley Research.

Industry Growth: China CIO Survey Results

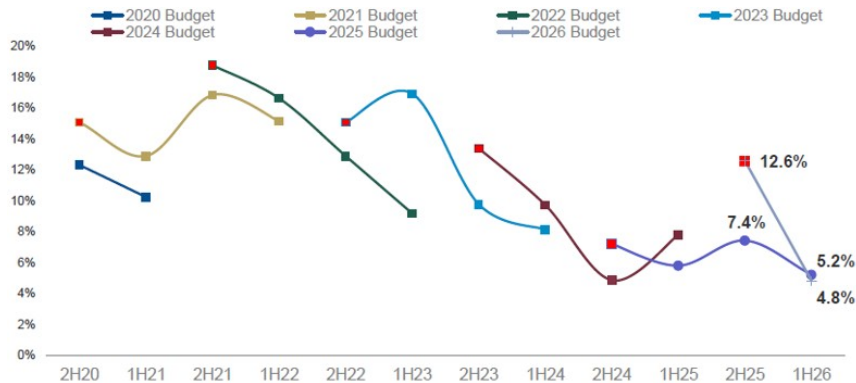
2026 external IT spending growth expectations by sector



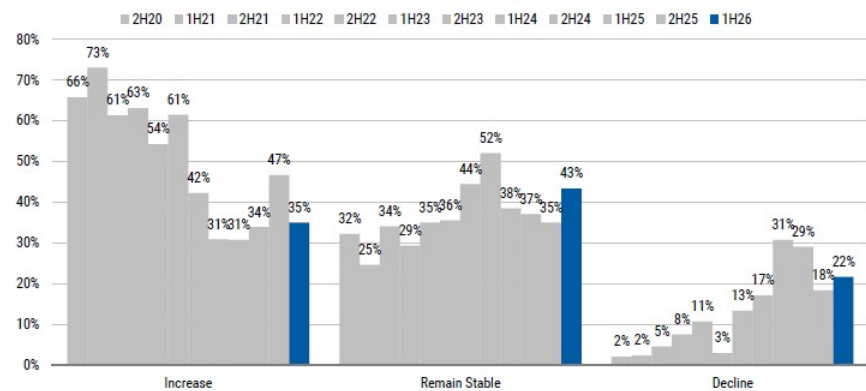
Expectations of potential IT budget revisions this year



Overall external IT spending growth expectations



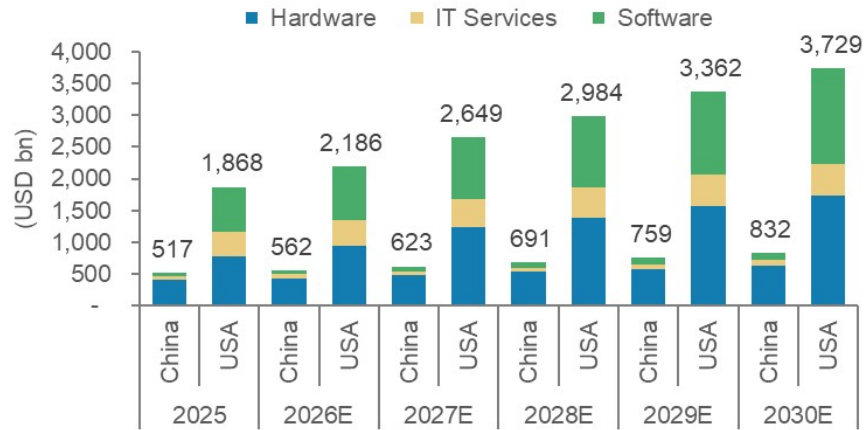
IT spending as a % of total revenue in the next 3 years



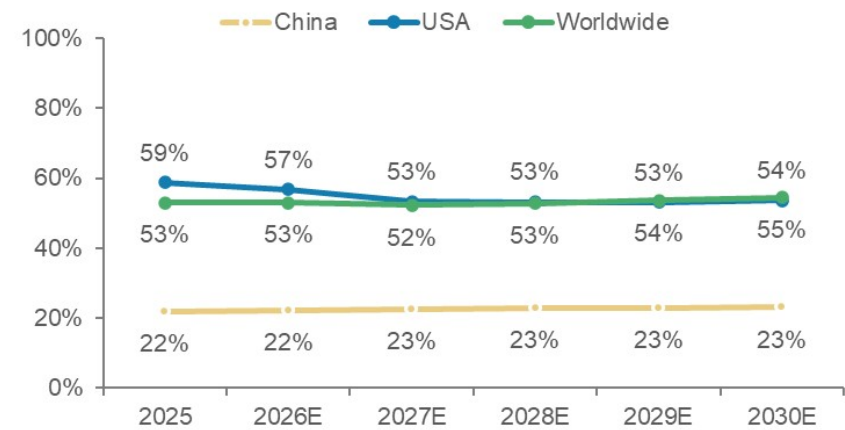
Source: AlphaWise, Morgan Stanley Research.

Global Comparison

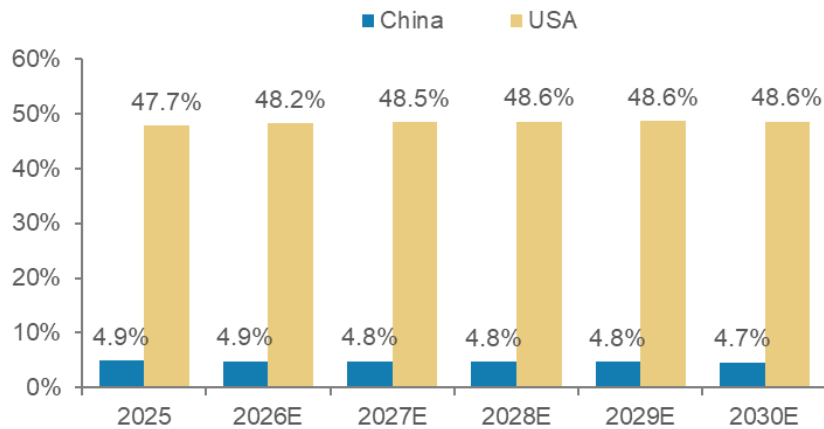
US vs. China enterprise IT spending comparison



Software & IT services as a % of total IT spending

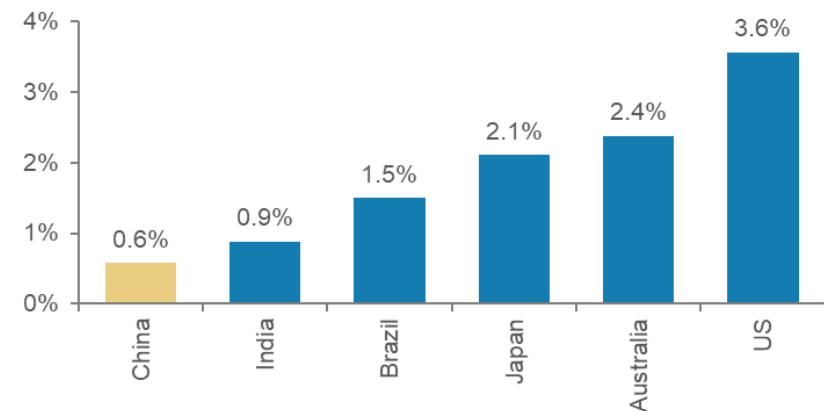


Software & IT spending market share: China at 4.9%

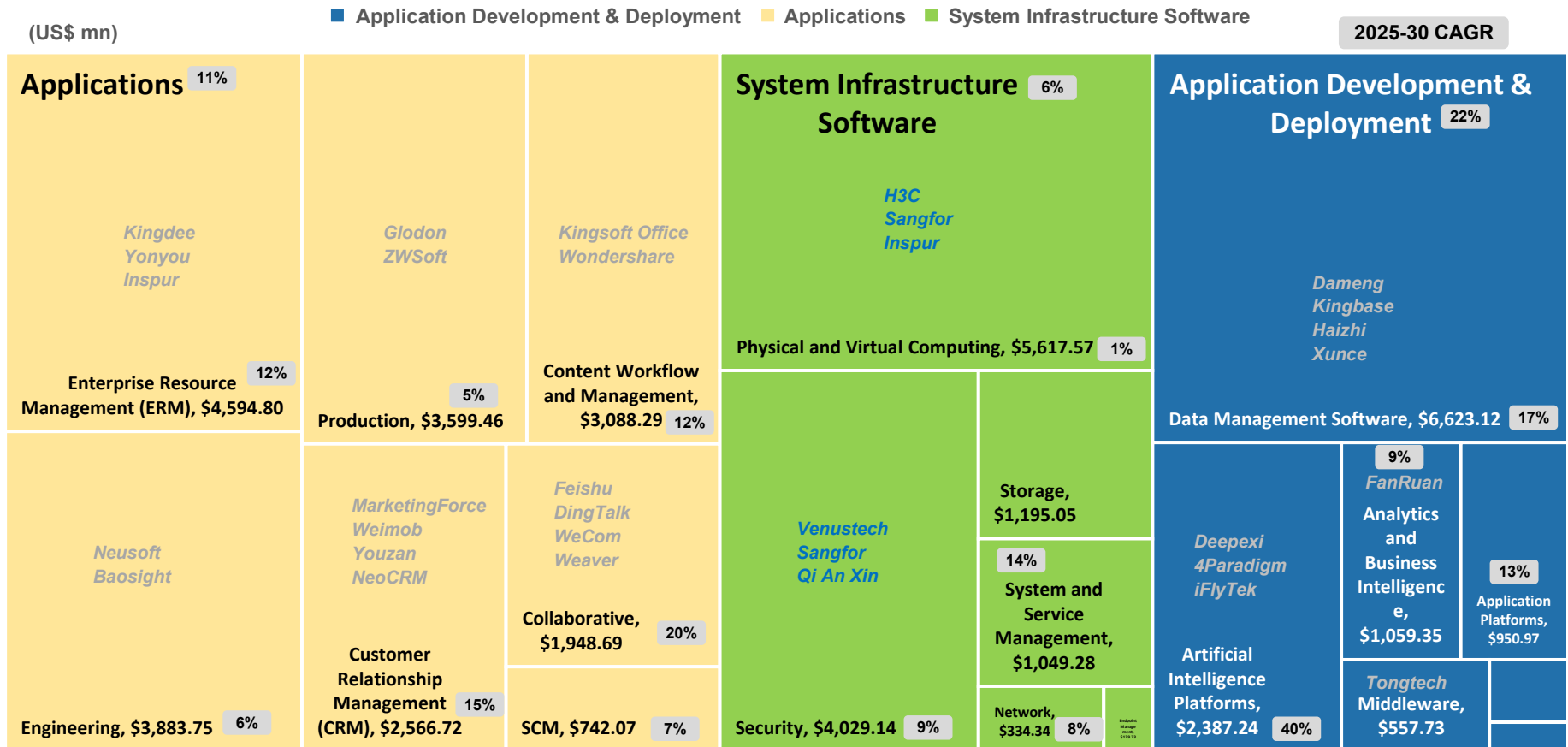


Source: IDC, FactSet, Morgan Stanley Research. E = IDC estimates.

Software & IT services spending as % of 2025 nominal GDP



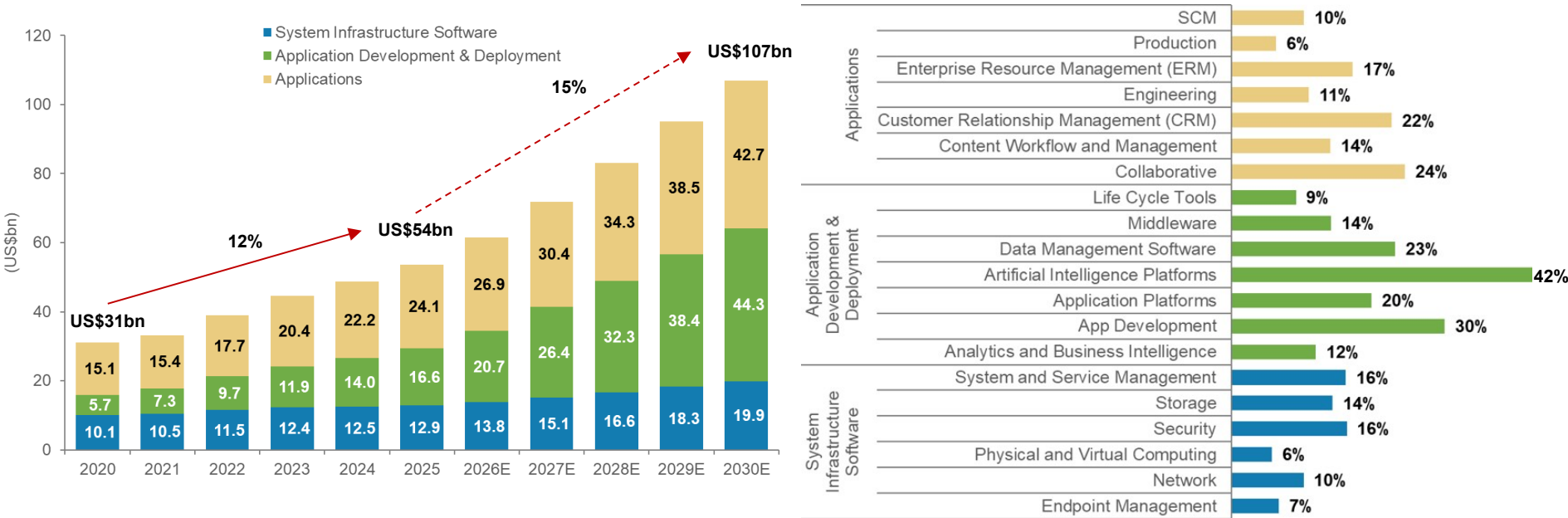
Software Segments by Product



Source: IDC, Morgan Stanley Research. E = IDC estimates.

Growth Outlook

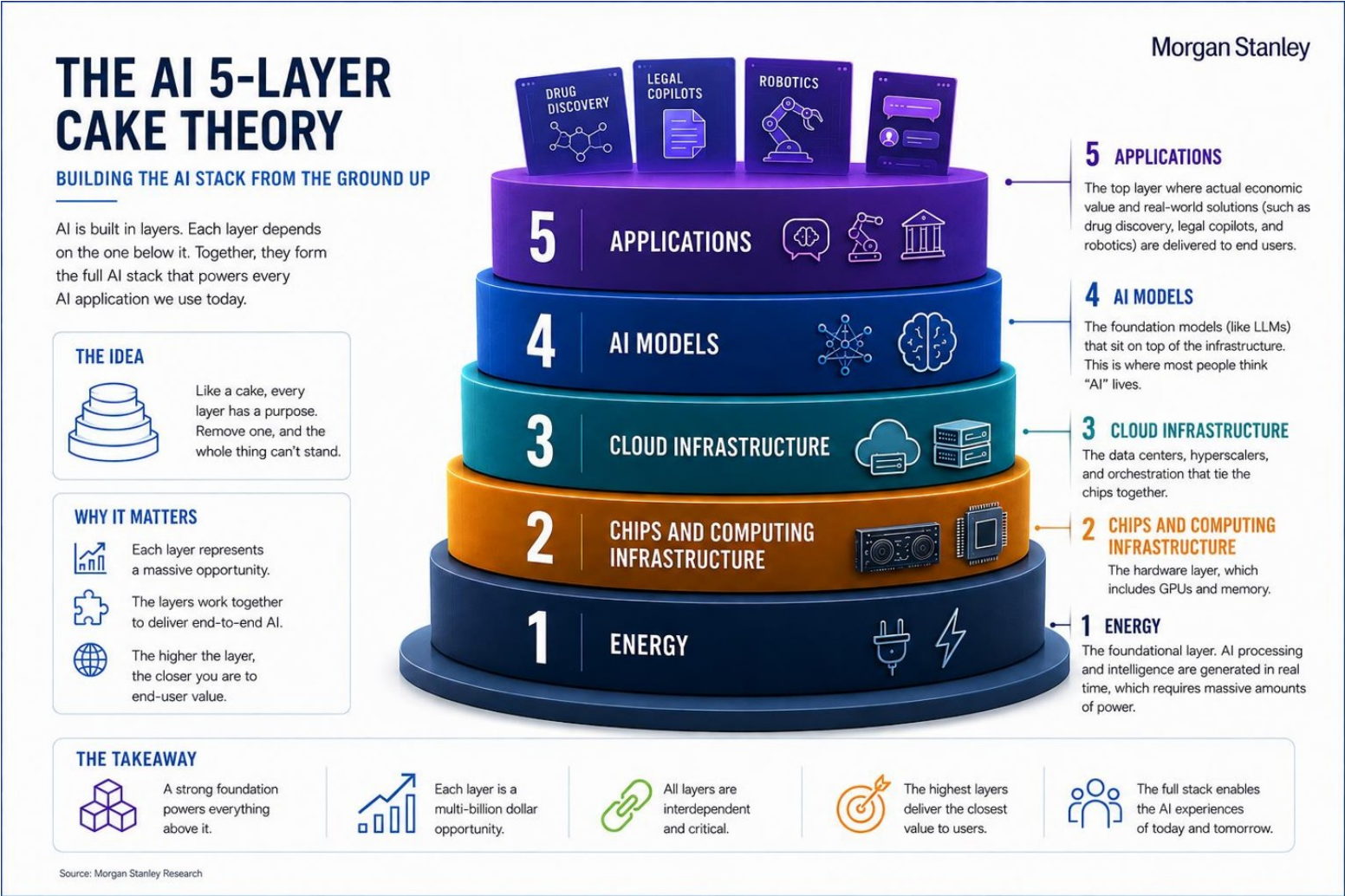
IDC estimates software market to rise at a 13.9% four-year CAGR to 2028



Source: IDC, Morgan Stanley Research. E = IDC estimates.

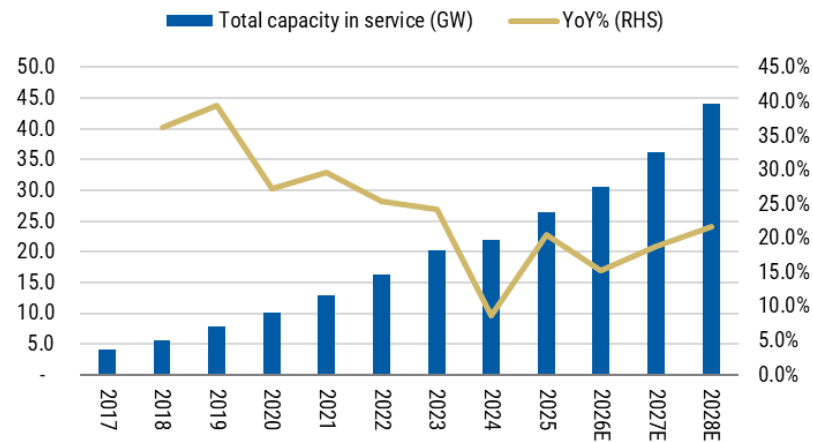
AI Cloud Infra

AI: The 5-layer Cake

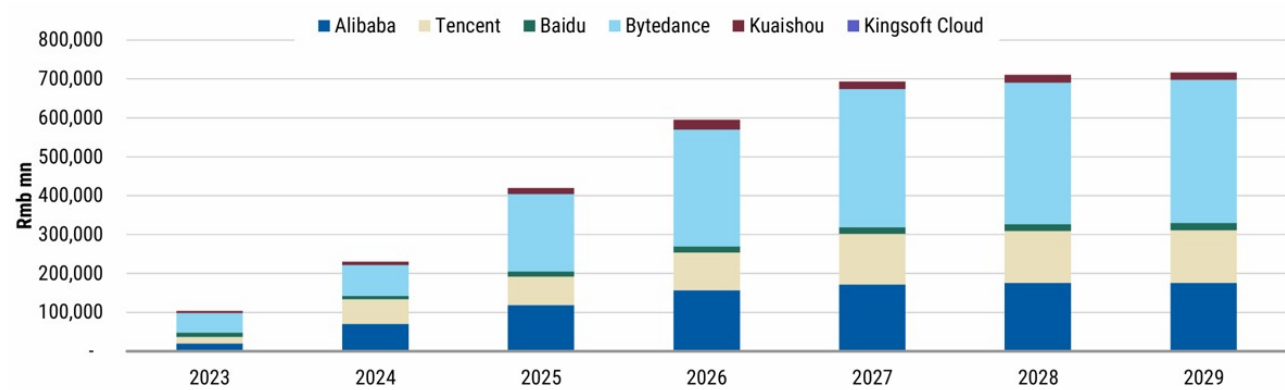


Cloud infra: Data Centers

China data center capacity



China hyperscalers' capex (GPU leasing not included)



Source: Company data, Morgan Stanley Research estimates.

Cloud infra: Data Centers

Data centers in cloud era vs. AI era

	Cloud era	AI era
Rack density	5kW	10-30kW now, higher in future
Hyperscale order	5-20MW	50MW+
Preferred location	Tier 1 markets for low latency	Remote areas for scale and low cost
CSPs' In-house strategy	Outsource in tier 1 markets; In-house in remote sites	Prefer outsourcing for time-to-market and flexibility
Move-in speed	Usually 1-2 years depending on the demand	As fast as 6 months
Delivery time	Usually 1-2 years of construction	6-9 months construction through pre-fab model
Supply side	Power quota scheme; tight in tier 1 market, loose in remote areas	Large DC clusters must be in East Data West Computation nodes; NDRC strictly controlling the supply through construction permit
Cost of capital	High due to high interest rate and lack of alternate financing vehicle	Low interest environment and availability of REITs for alternative financing

Source: Company data, Morgan Stanley Research.

Key IDC players

Tier 1 market players



GDS万国数据



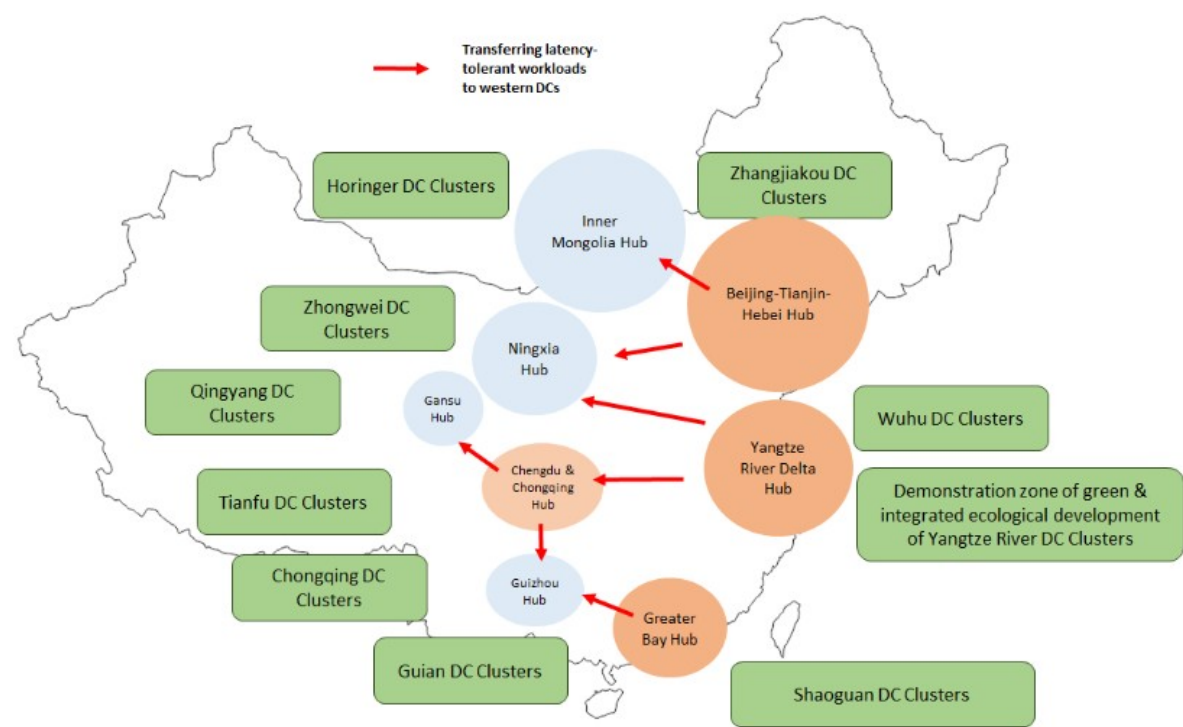
润泽科技



Remote players



Cloud infra: Data Centers



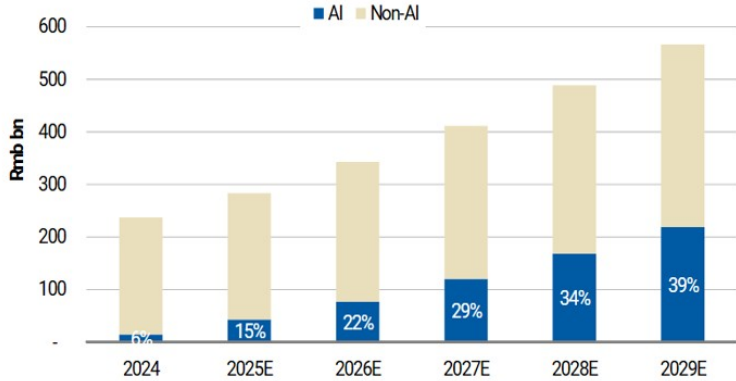
Source: Morgan Stanley Research

AI Cloud

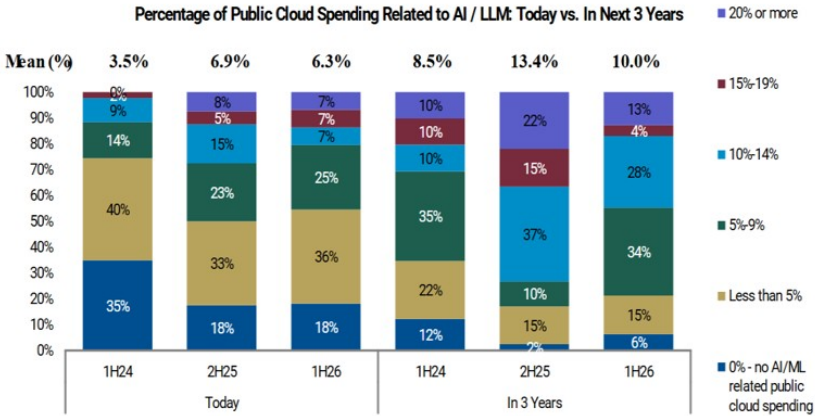
How the AI era differs from traditional cloud

	Cloud era	AI era
Datacenter	CPUbased Tier 1 cities	GPUbased Remote area
IaaS	Computing Storage Networking	Model training Model inferencing
PaaS/MaaS	Database Middleware Operating system	Vector database MaaS
SaaS	ERP Office software CRM	Chatbot Coding agent

AI to take a rising share of IaaS + PaaS in China

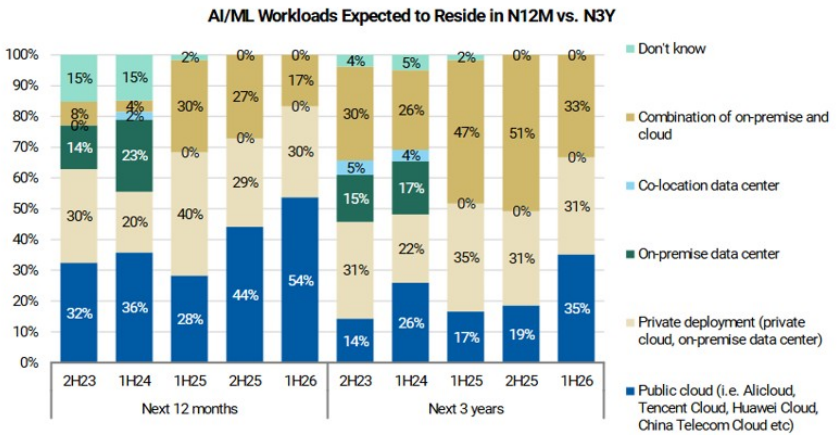


Public cloud spending related to AI (mix by CIO)



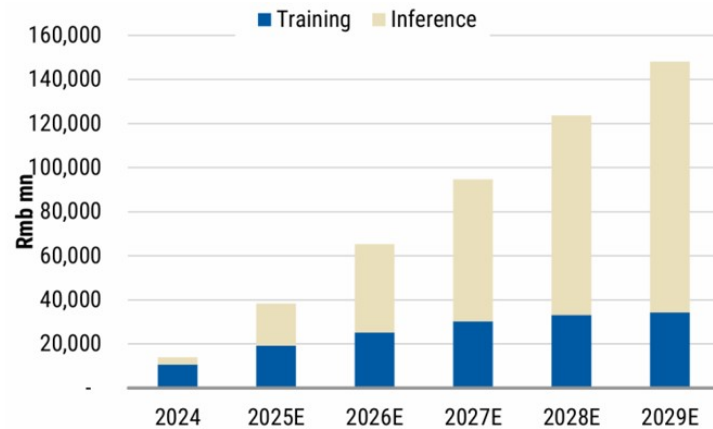
Source: AlphaWise, Morgan Stanley Research

Public deployment to pick up



AI Cloud

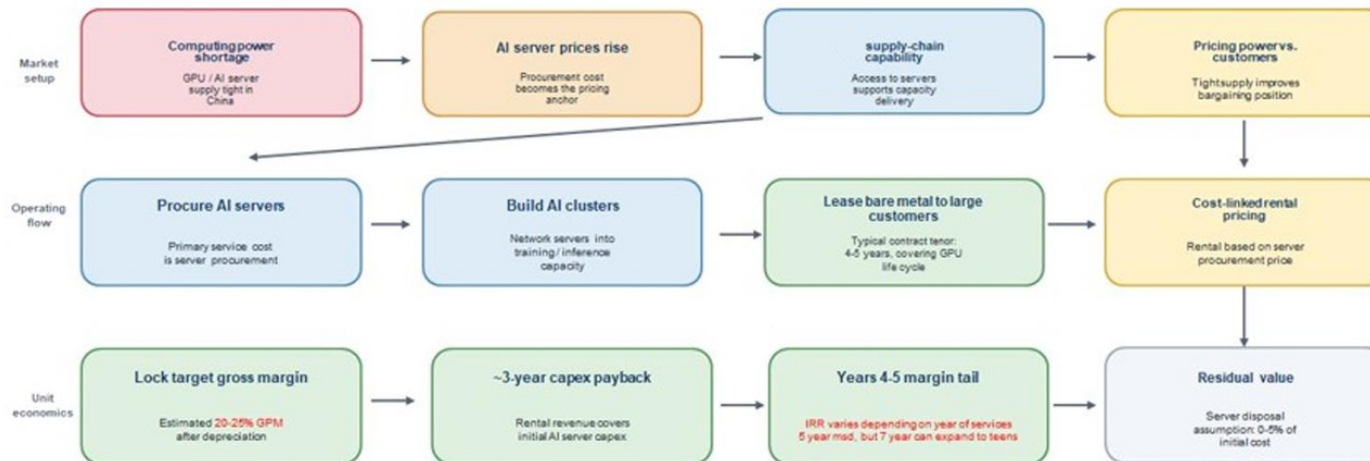
GenAI IaaS by workload type



Public cloud vendors in China

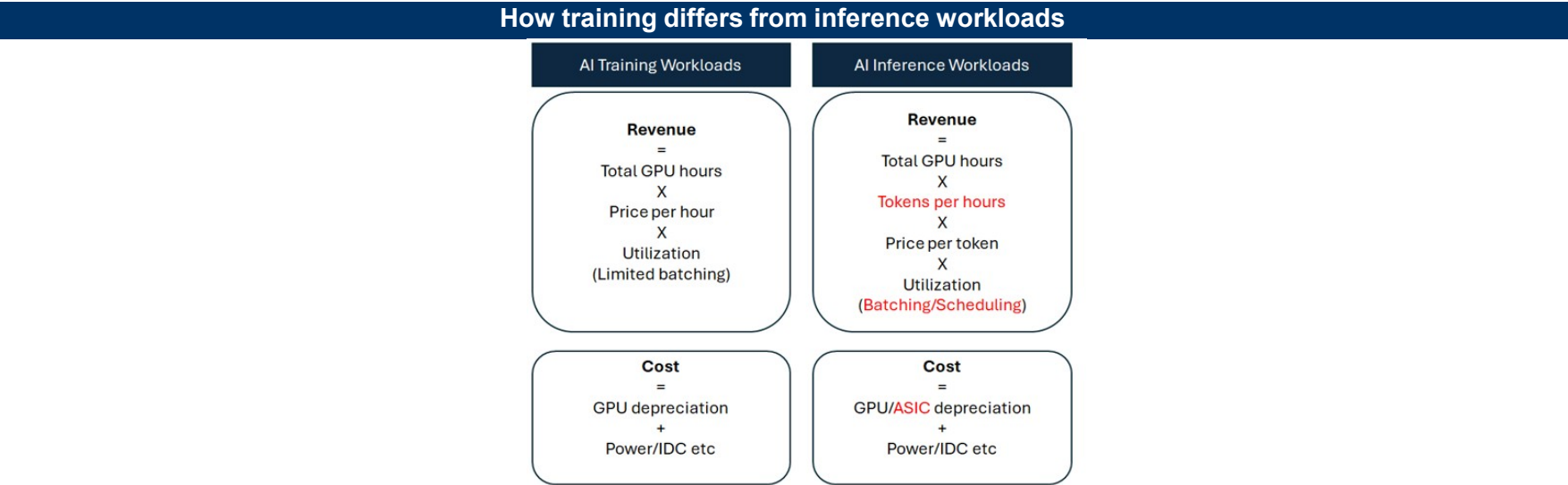
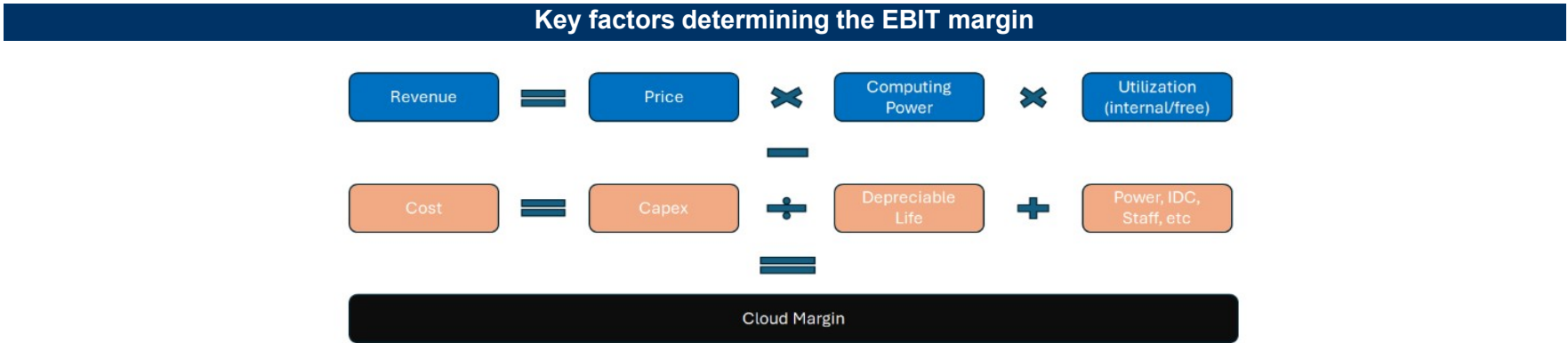


Business model of AI cloud



Source: IDC, Morgan Stanley Research. E = IDC estimates.

AI Cloud



Source: Morgan Stanley Research

AI Cloud

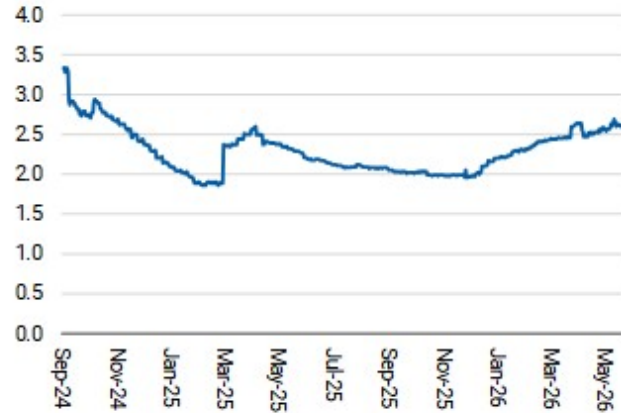
Unit metrics of AI NeoCloud

Year	0	1	2	3	4	5	6	Total
Capex	71							
LTC	80%							
Interest rate	3.5%							
Debt	57							
Equity	14							
Tax rate	15.0%							
Revenue	22.0	22.0	22.0	22.0	22.0	22.0	22.0	110
Opex	3.5	3.5	3.5	3.5	3.5	3.5	3.5	21
EBITDA	18.5	18.5	18.5	18.5	18.5	18.5	18.5	93
Margin	84%	84%	84%	84%	84%	84%	84%	
Depreciation	14.3	14.3	14.3	14.3	14.3	-	-	71
EBIT	4.2	4.2	4.2	4.2	4.2	18.5		21
Margin	19%	19%	19%	19%	19%	84%		
Interest expense	2.0	2.0	2.0	2.0	2.0	2.0		10
Tax expense	0.63	0.63	0.63	0.63	0.63	2.78		
Net profit	1.59	1.59	1.59	1.59	1.59	13.73		8
Margin	7%	7%	7%	7%	7%	62%		7%
Gross asset yield		31%	31%	31%	31%	31%		
Payback years	3.86							
If 5 years								
Unleveraged cashflow	(71)	18.5	18.5	18.5	18.5	18.5		
IRR (pre-tax)	9%							
If 6 years								
Unleveraged cashflow	(71)	18.5	18.5	18.5	18.5	18.5	18.5	
IRR (pre-tax)	14%							
If prepaid 1 year								
Unleveraged cashflow	(52.9)	18.5	18.5	18.5	18.5			
IRR (pre-tax)	15%							
If 50% leased								
Lease payment	-	(8.0)	(8.0)	(8.0)	(8.0)	(8.0)		
Unleveraged cashflow	(35.7)	10.5	10.5	10.5	10.5	10.5		
IRR (pre-tax)	15%							

Source: Morgan Stanley Research

AI Cloud

Silicon Data H100 Rental Index



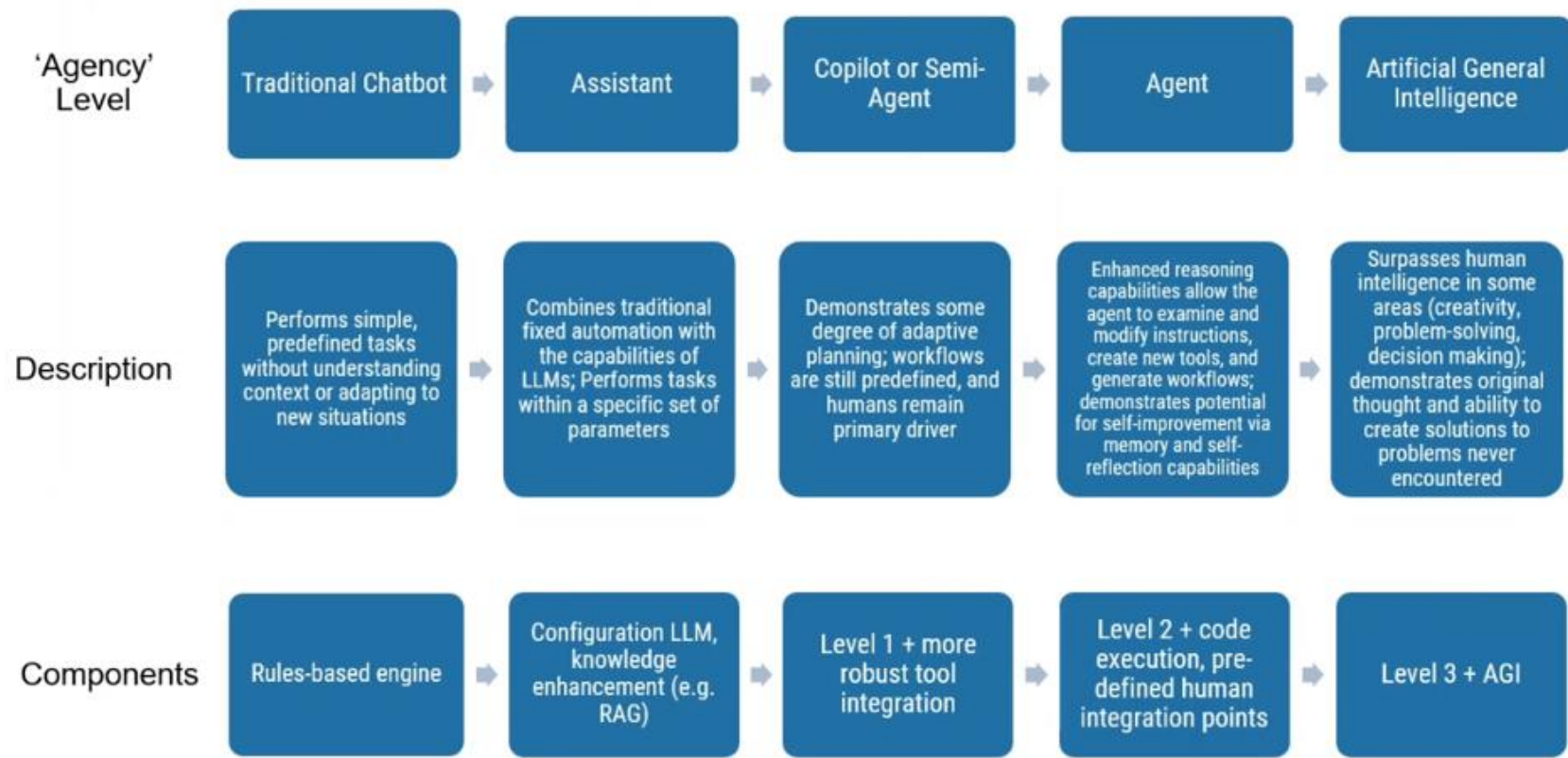
Source: Bloomberg, Morgan Stanley Research

Recent cloud price hikes globally

Time	Product /Company	Key events
Dec-25	CPU/Memory	Financial Times reported major server OEMs are increasing server prices citing CPU and memory costs as major driver.
Jan-26	AWS	AWS raised EC2 Machine Learning Capacity Block prices by ~15%, mainly affecting AI heavy workloads
	CPU	Multiple reports indicated that cost of servers have been driving up by higher CPU, memory and motherboards prices
	Google Cloud	Announced higher data transfer pricing effective from May 2026
	Wangsu	Announced price hike for CDN products by 35-40% effective from Feb 1st
Feb-26	Ucloud	Announced price hike for cloud product line effective from March 1st for all contract renewals and new signing.
Mar-26	Tencent	Raised the token prices for a series of models on its MaaS platform.
	Alicloud	Raised the pricing for AI computing related offerings by 5-34% effective from Apr 18th.
	Baidu	Raised AI computing related offerings by 5-30% effective from Apr 18th.
Apr-26	Tencent	Raised the prices for AI computing related product effective from May 9th.
	Alicloud	Raised prices for some server prices effective from May 15th.

AI Applications

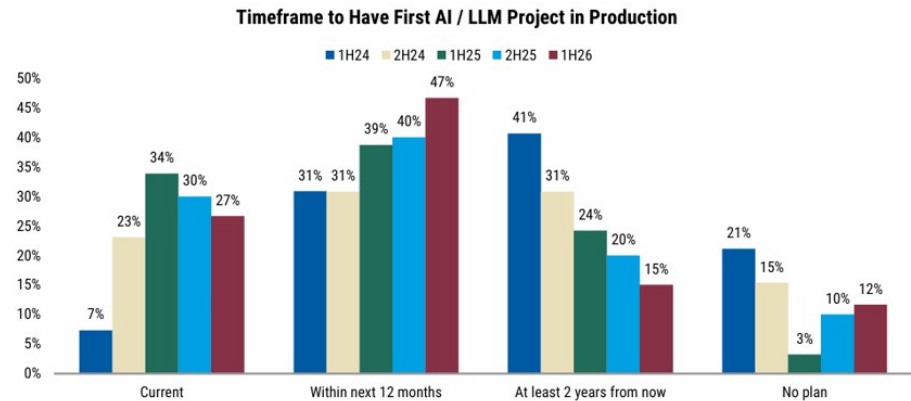
From Chatbot to Agent



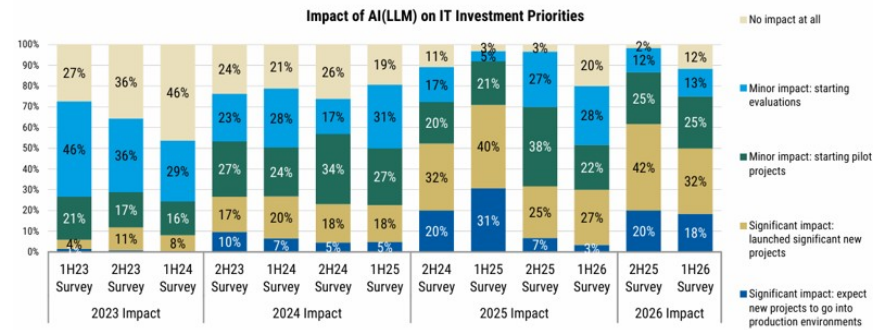
Source: Morgan Stanley Research, Adapted from S&P Global Market Intelligence 451 Research

What do China CIOs say?

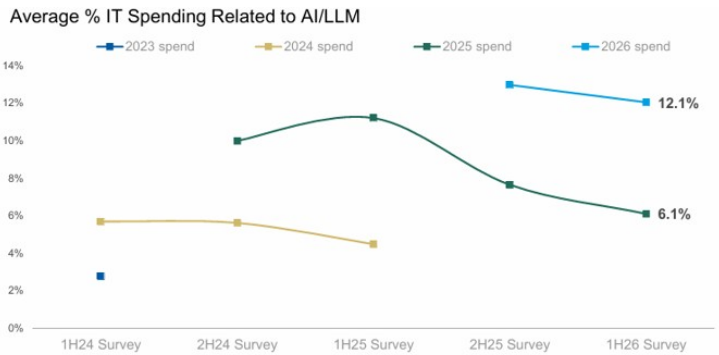
China enterprise CIOs generally delayed first AI projects



Almost all CIOs saw AI impact on IT investments



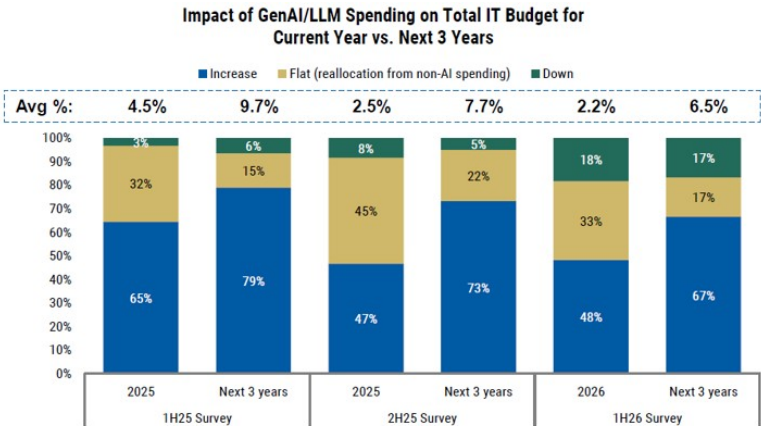
AI increasingly gaining IT budget share



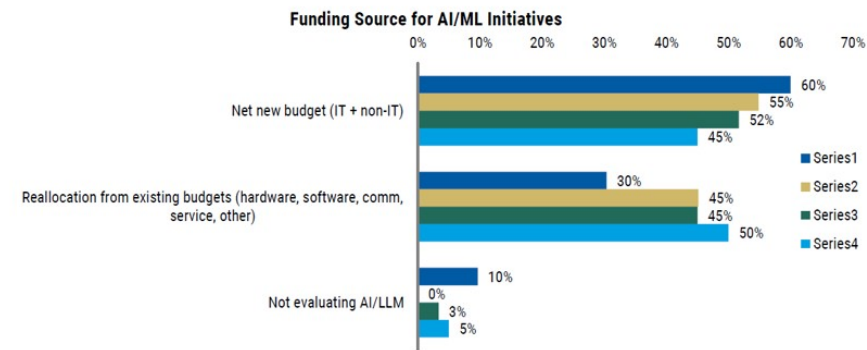
Source: AlphaWise, Morgan Stanley Research.

AI Disruption 1 – Budget Reallocation

Impact of AI spending on total IT budget

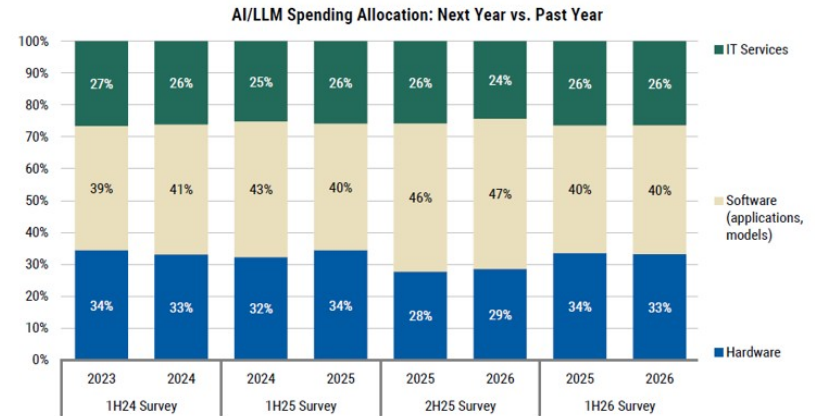


More AI funding coming from software budget reallocation

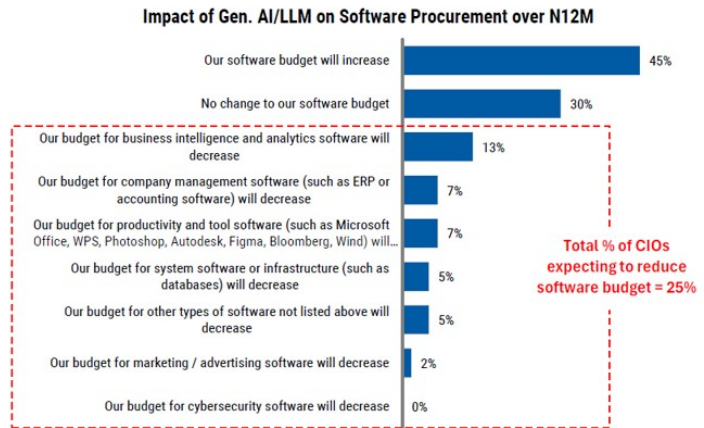


Source: AlphaWise, Morgan Stanley Research.

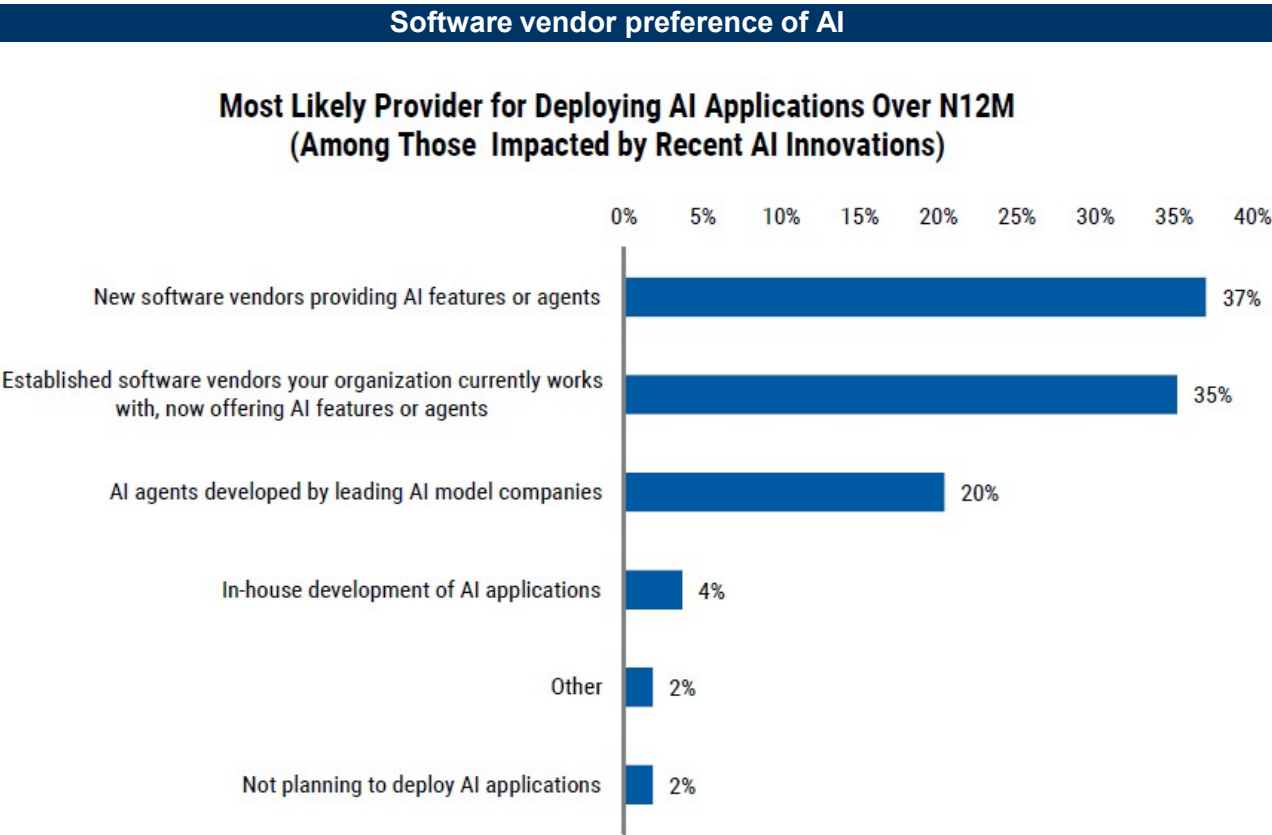
AI spending breakdown



Impact of AI on software procurement

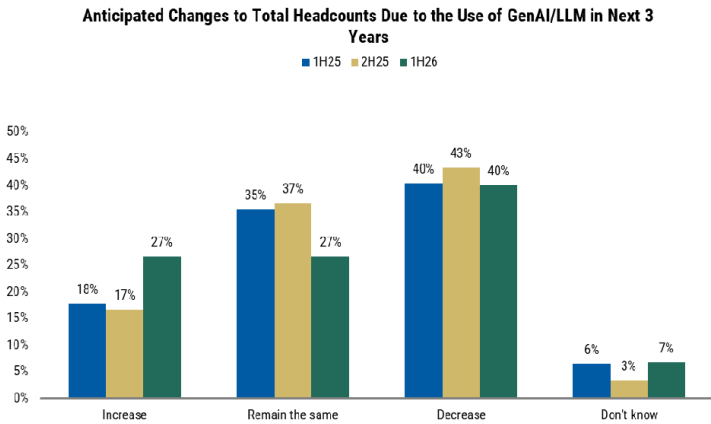
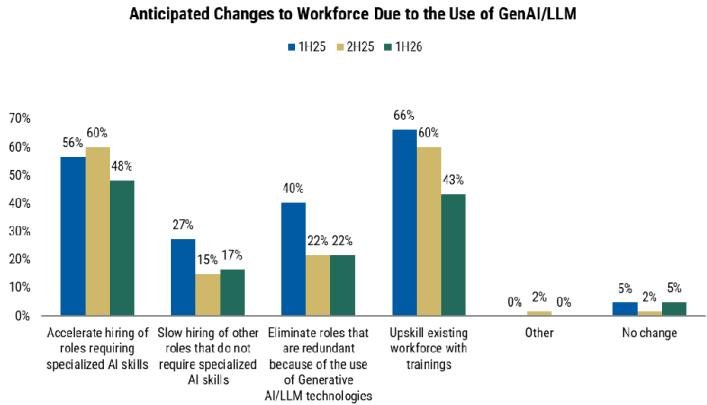
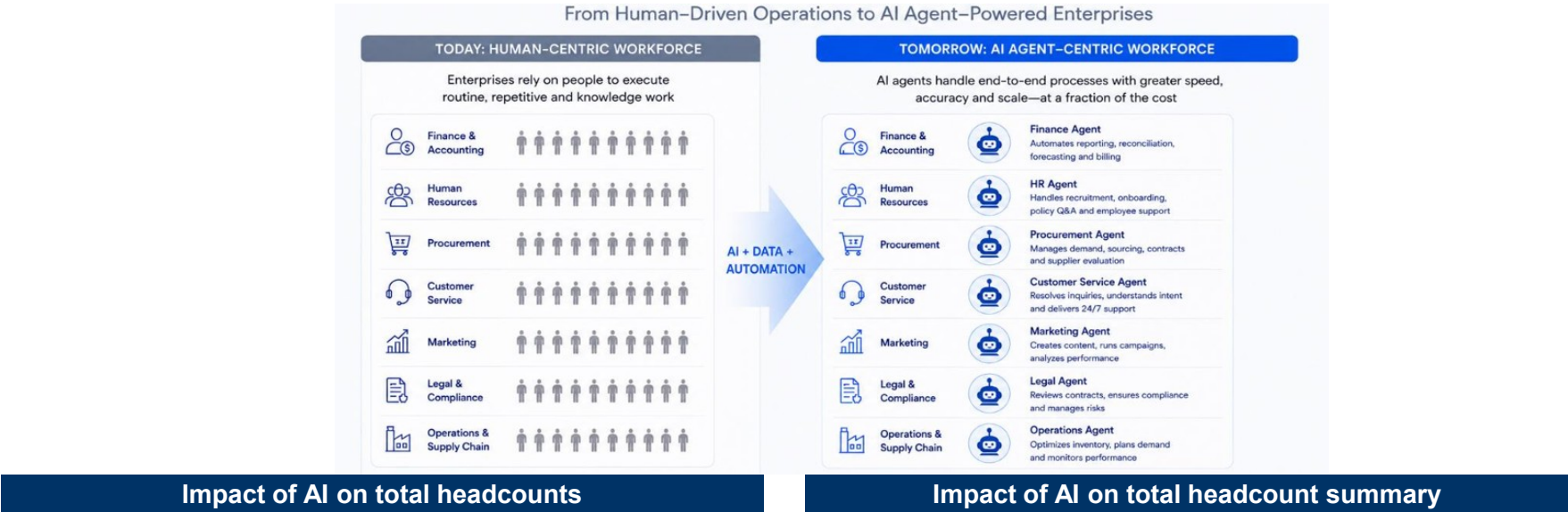


AI Disruption 2 – Vendor Reshuffle



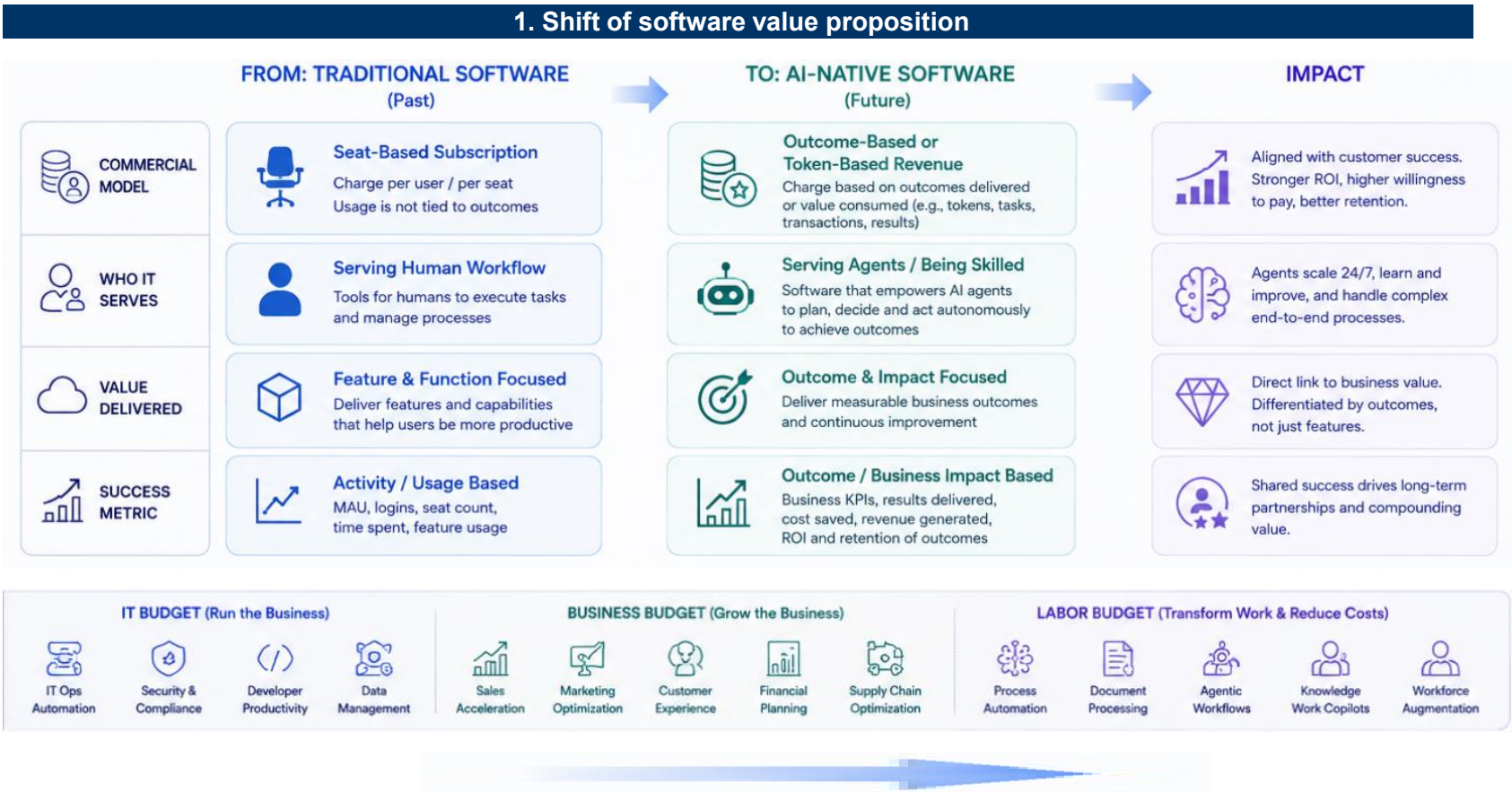
Source: AlphaWise, Morgan Stanley Research.

AI Disruption 3 – Less Headcount...



Source: AlphaWise, Morgan Stanley Research.

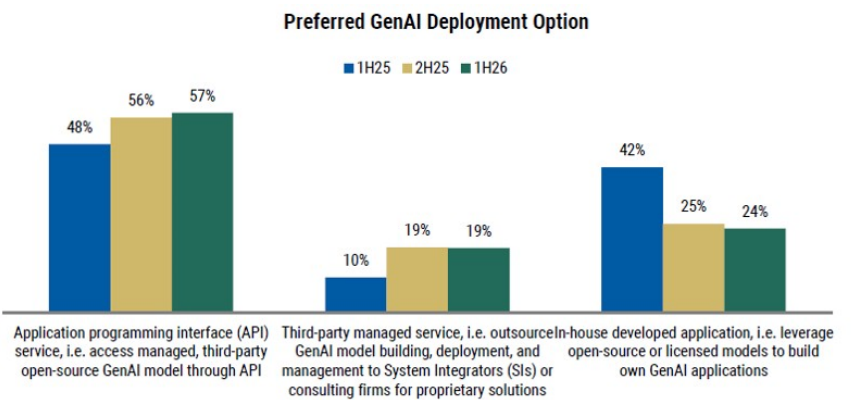
...But There Are Also Opportunities



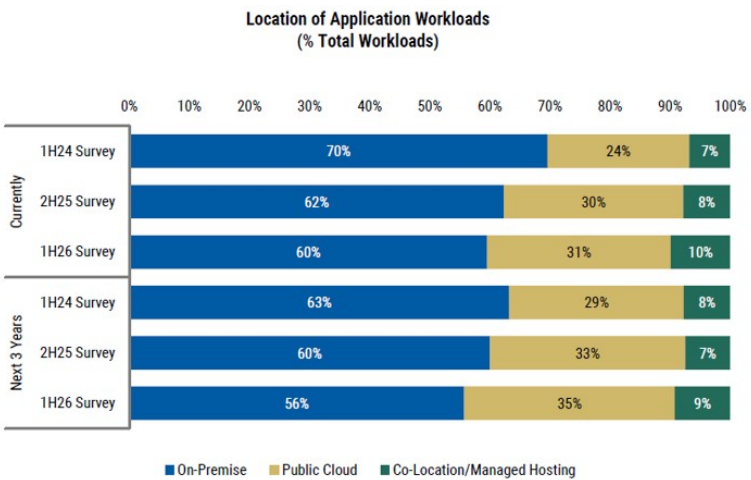
Source: Morgan Stanley Research.

...But There Are Also Opportunities

2. Prefer buying software over building software



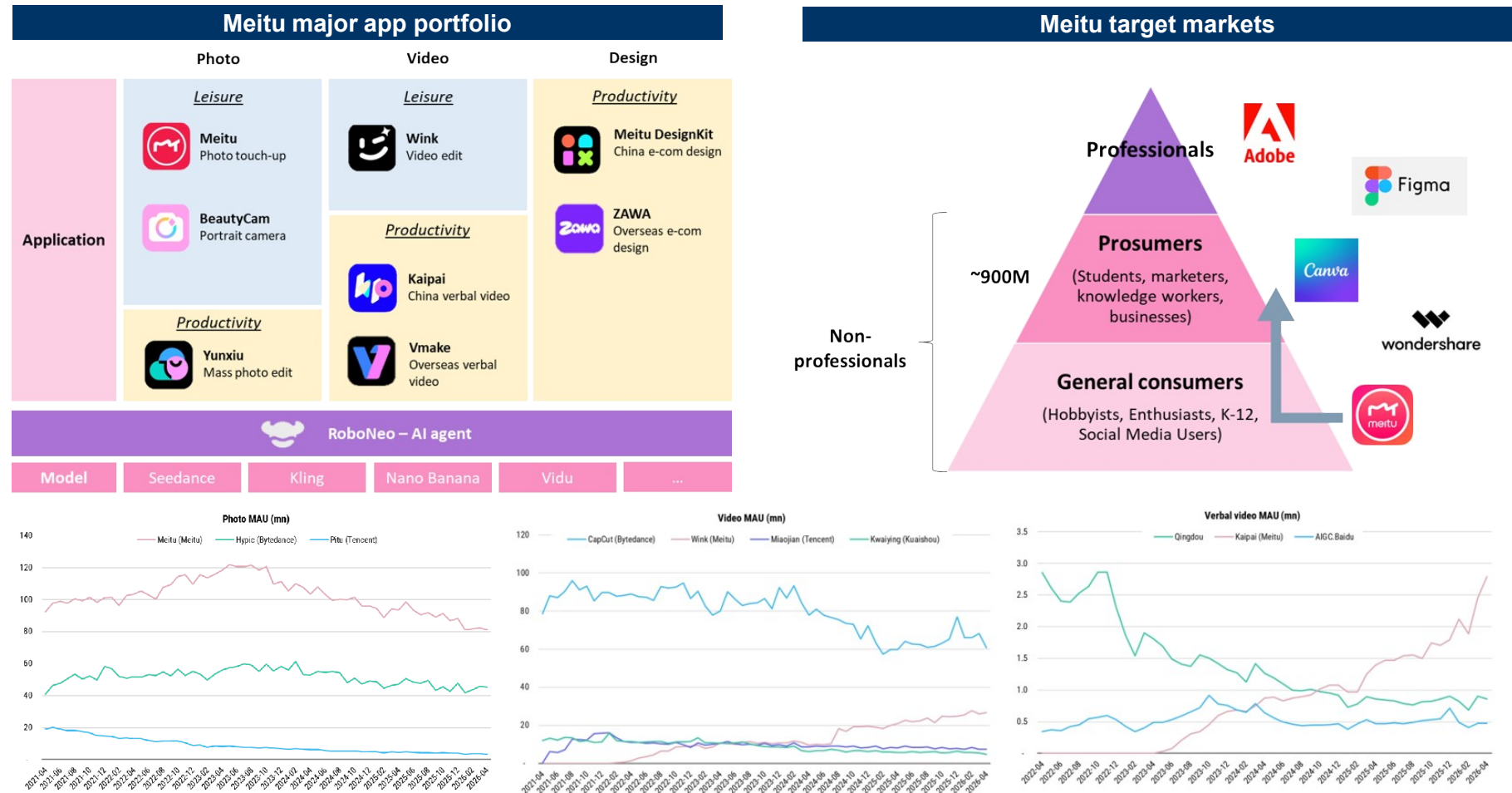
3. Prefer public/hybrid cloud over private cloud



Source: AlphaWise, Morgan Stanley Research.

Case Studies: China AI Applications

Meitu – GenAI Applied in Consumer/Prosumer Apps



Source: Questmobile, Morgan Stanley Research

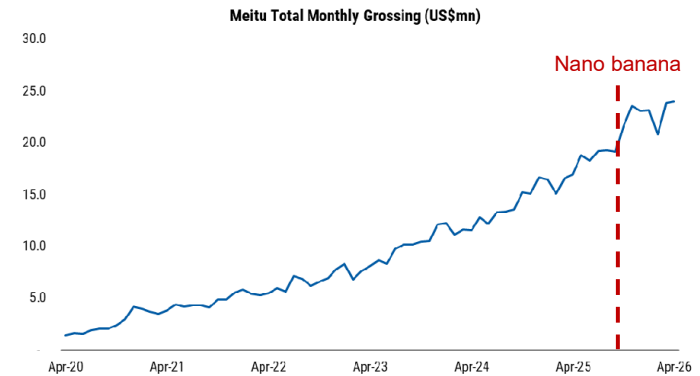
Meitu – GenAI Applied in Consumer/Prosumer Apps

Improving operating metrics with GenAI

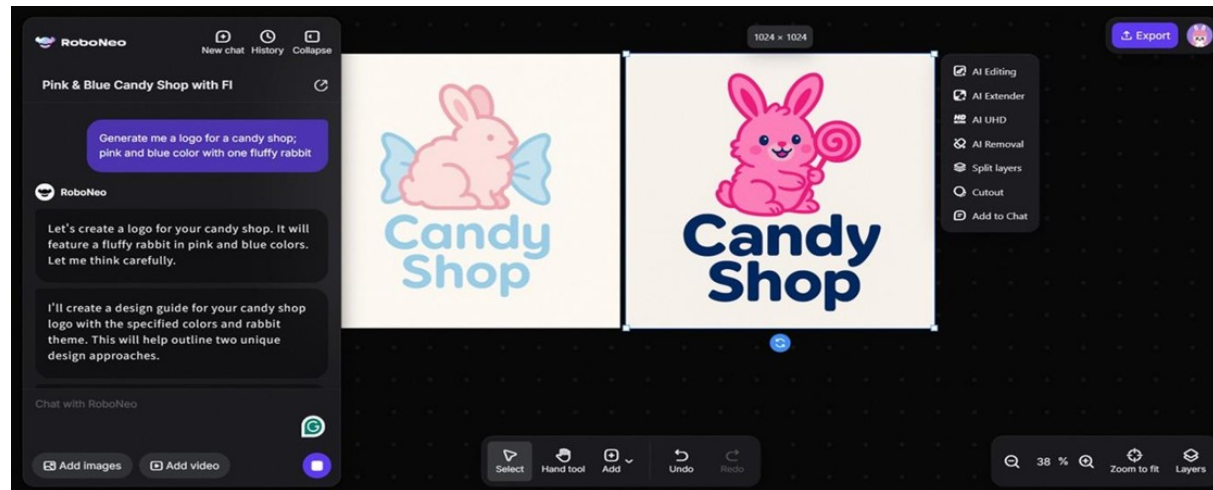
Key strategy: productivity + globalization

- Increasing AI-empowered product features behind a paywall
- Growing mix of productivity apps with higher paying ratio and ARPPU
- Growing mix of overseas users with higher paying ratio and ARPPU

Multi-modal progress benefits Meitu



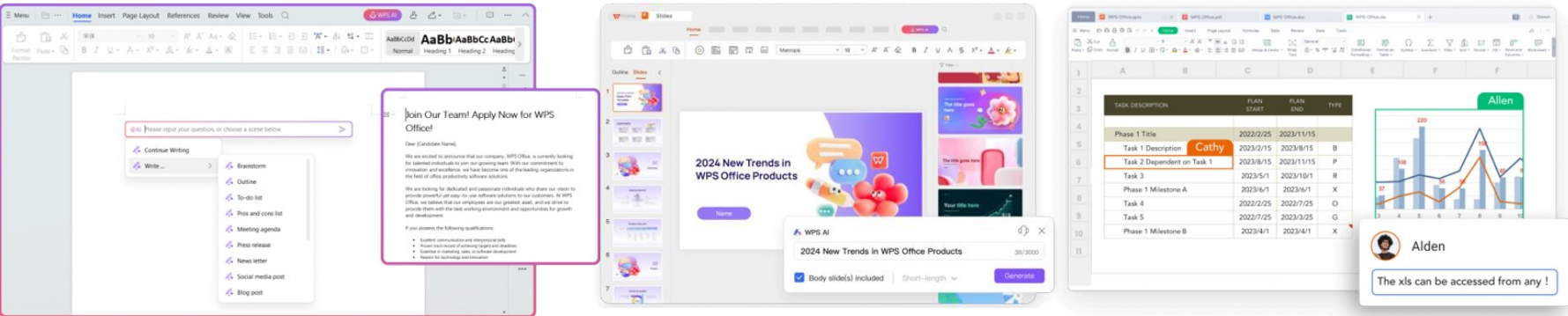
Meitu RoboNeo: China's first design agent



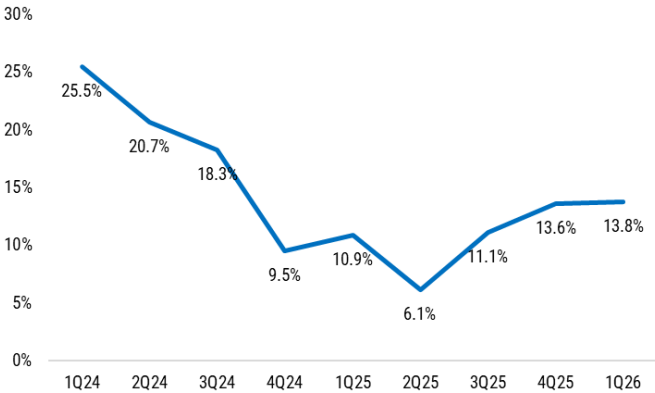
Source: Company, SensorTower

Kingsoft Office WPS – GenAI Applied in Office Software

WPS AI offerings



WPS 2C revenue YoY% growth



Source: Kingsoft Office, Morgan Stanley Research

Enlarged WPS promotion discounts

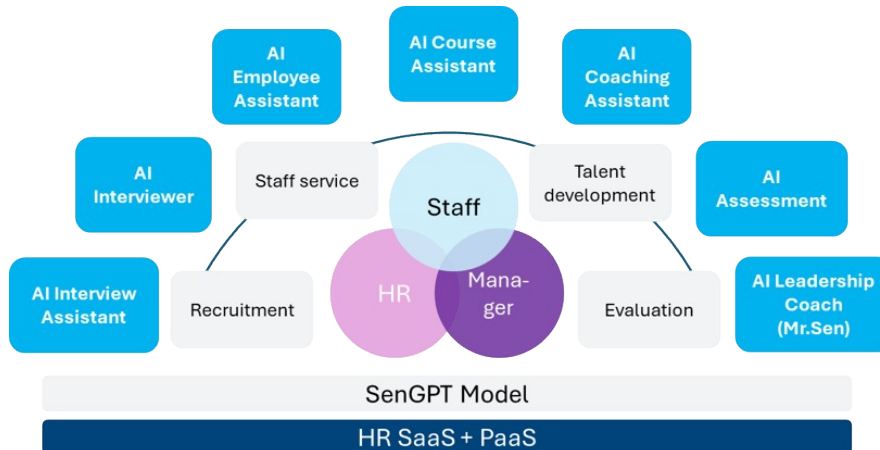
Promotional event	2026				2025				2025			
	618	List price	Discount price	Implied discount	Double 11	List price	Discount price	Implied discount	618	List price	Discount price	Implied discount
Super membership (超级会员):												
Discount to 1 year membership	√	168	128	24%	√	166	131	21%	√	168	128	24%
Discount to 2 year membership	√	278	208	25%	√	228	188	18%	√	288	198	31%
Discount to 3 year membership	√	368	298	19%	√	299	237	21%	√	378	229	39%
Discount to 4 year membership	√	488	398	18%	√	352	275	22%	√	438	303	31%
Grand membership (大会员):												
Discount to 1 year membership	√	238	188	21%	√	228	179	22%	√	228	168	26%
Discount to 2 year membership	√	388	299	23%	√	310	233	25%	√	458	298	35%
Discount to 3 year membership	√	528	438	17%	√	457	359	21%	√	538	358	33%
Discount to 4 year membership	√	658	528	20%	√	598	483	19%	√	550	473	14%

Kingdee & Beisen – GenAI Applied in Enterprise Management Application

Kingdee AI offerings



Beisen AI offerings

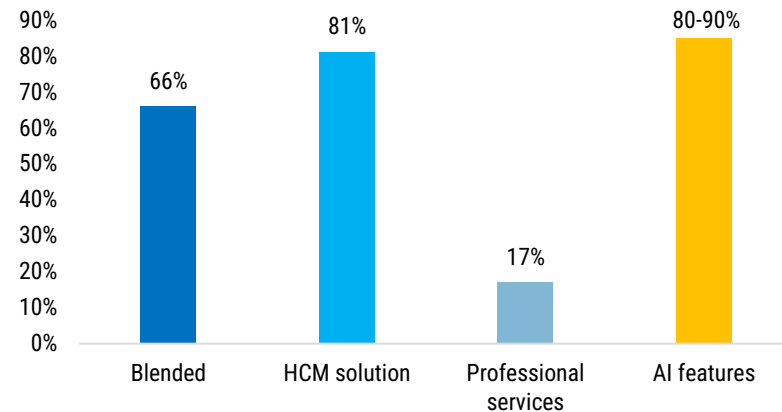


Source: Kingdee, Beisen, Morgan Stanley Research

ToB AI application

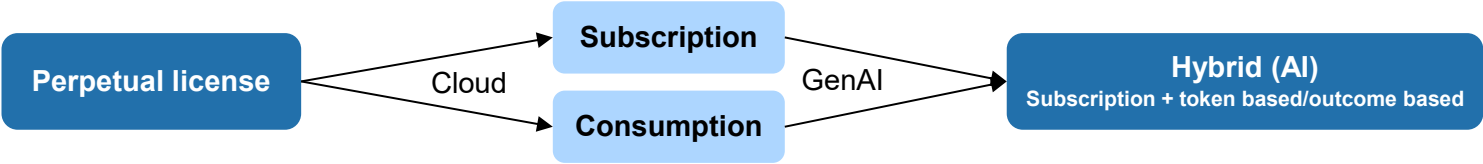
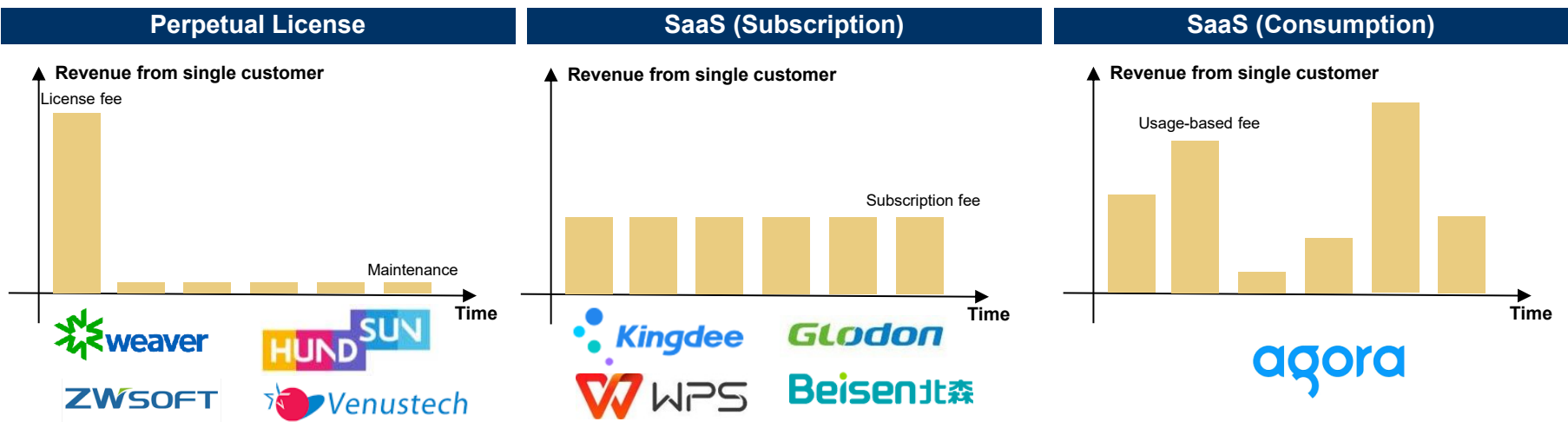
- Lack explosiveness compared with toC AI application
- Customers care about AI adoption ROIs
- Positive for enterprise cloud migration acceleration
- May generate higher gross margin compared with declining inference costs

Beisen gross margin breakdown



Appendix: Business Model

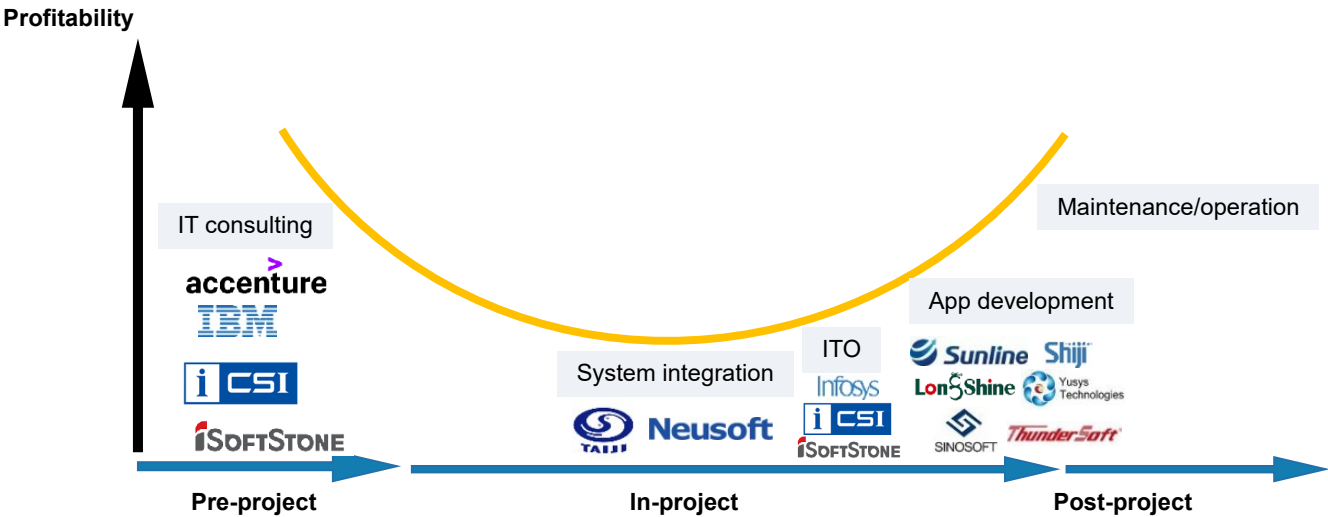
Software Business Model: Revenue Stream



Features	Perpetual License	Subscription	Consumption
Customer lifetime value (LTV)	Low	High	High
Revenue volatility	High	Low	High
Operating leverage	Mid	High	High

Source: Morgan Stanley Research

IT Services Business Model: Smiling Curve

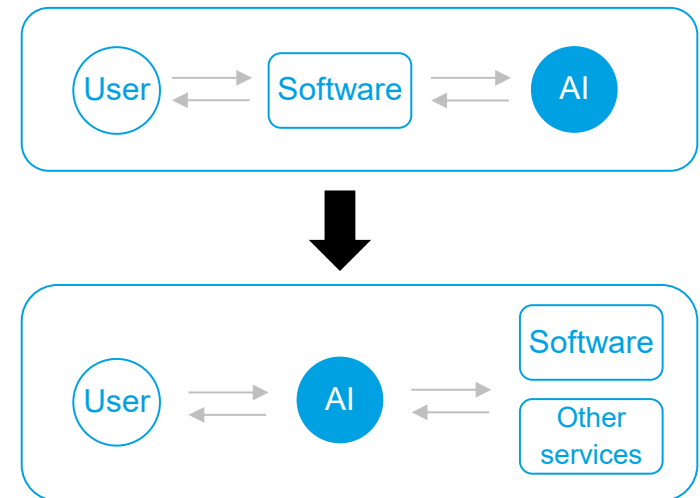
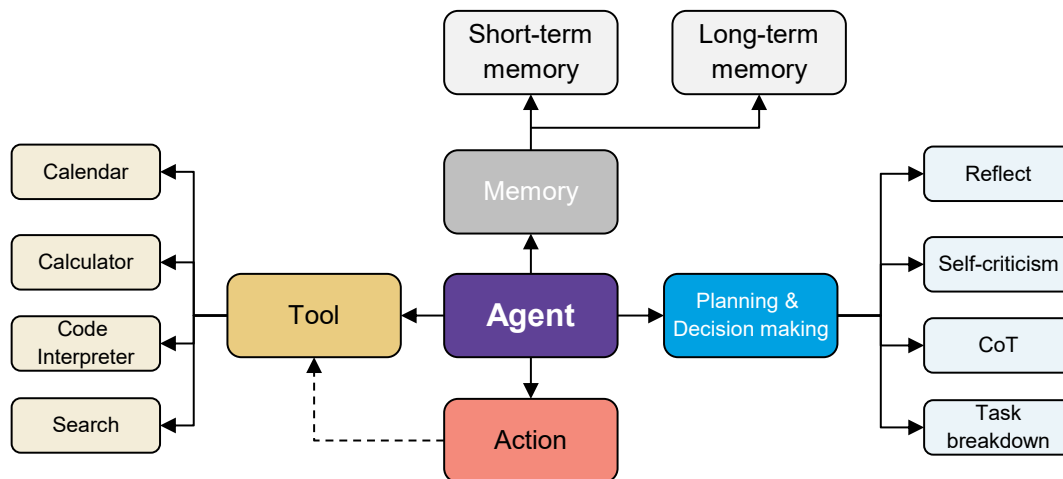


Features	IT consulting	System integration	ITO	App development	Maintenance/operation
Pricing model	Project-based	Mark-up on costs	Labor/time-based	Project-based	Fixed terms
Frequency	One-time	One-time	Recurring	One-time	Recurring
Gross margin	~50%	<10%	~20%	30%+	60%+
Talent requirement	High	Low	Low	Mid	Mid

Source: Morgan Stanley Research

AI Agent

1. Understand and interact with its environment (receive inputs)
2. Collect and connect to data
3. Take action autonomously without using pre-determined rules
4. Learns from its experience over time



Source: Morgan Stanley Research

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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MiniMax (0100.HK)	O (02/20/2026)	HK\$667.50
Lydia Lin		
Beisen Holding Limited (9669.HK)	O (06/23/2025)	HK\$4.10
Chinasoft International Ltd (0354.HK)	U (05/04/2026)	HK\$4.36
Glodon Co. Ltd. (002410.SZ)	E (08/23/2023)	Rmb10.10
Hundsun Technologies Inc. (600570.SS)	U (04/07/2025)	Rmb24.38
Longshine Technology Group Co Ltd (300682.SZ)	U (09/17/2025)	Rmb12.47
Meitu Inc (1357.HK)	O (10/01/2024)	HK\$5.59
Sharon Shih		
iFlytek Co Ltd (002230.SZ)	E (04/20/2021)	Rmb48.26
Yang Liu		
Beijing Kingsoft Office Software Inc (688111.SS)	U (08/26/2024)	Rmb262.25
Kingdee International Software Group (0268.HK)	E (03/19/2025)	HK\$8.99
Kingsoft Corp Ltd (3888.HK)	E (07/21/2025)	HK\$23.54
Sangfor Technologies Inc (300454.SZ)	E (07/05/2024)	Rmb120.01
Tuya Inc. (TUYA.N)	O (11/29/2023)	US\$2.15
Wangsu Science & Technology (300017.SZ)	U (11/12/2024)	Rmb15.18
Yonyou Network Technology Co Ltd (600588.SS)	U (11/12/2024)	Rmb11.28

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